



A-Level Economics

7136/1 Paper 1 Markets And Market Failure
Predicted Paper Final Mark scheme

7136
Predicted Paper

Version/Stage: v1.0 [Set B — Hard]

Mark schemes are prepared by the Lead Assessment Writer and considered, together with the relevant questions, by a panel of subject teachers. This mark scheme includes any amendments made at the standardisation events which all associates participate in and is the scheme which was used by them in this examination. The standardisation process ensures that the mark scheme covers the students' responses to questions and that every associate understands and applies it in the same correct way. As preparation for standardisation each associate analyses a number of students' scripts. Alternative answers not already covered by the mark scheme are discussed and legislated for. If, after the standardisation process, associates encounter unusual answers which have not been raised they are required to refer these to the Lead Assessment Writer.

It must be stressed that a mark scheme is a working document, in many cases further developed and expanded on the basis of students' reactions to a particular paper. Assumptions about future mark schemes on the basis of one year's document should be avoided; whilst the guiding principles of assessment remain constant, details will change, depending on the content of a particular examination paper.

Further copies of this mark scheme are available from aqa.org.uk

This is a predicted paper intended for revision purposes only. It is not an official AQA publication. The mark scheme follows the style and structure of AQA published materials to support realistic practice.

Annotations

Annotation	Description
?	Unclear
AN	Analysis
APP	Application
BOD	Benefit of the doubt
EVAL	Evaluation
Highlight	Highlight
IR	Irrelevant
KU	Knowledge and understanding
NAQ	Not answered question
REP	Repetition
SEEN	Indicates that the point has been noted, but no credit has been given.
Tick	Correct point
Cross	Incorrect point

Level of response marking instructions

Level of response mark schemes are broken down into levels, each of which has a descriptor. The descriptor for the level shows the average performance for the level. There are marks in each level.

Before you apply the mark scheme to a student's answer read through the answer and annotate it (as instructed) to show the qualities that are being looked for. You can then apply the mark scheme.

Step 1 — Determine a level

Start at the lowest level of the mark scheme and use it as a ladder to see whether the answer meets the descriptor for that level. The descriptor for the level indicates the different qualities that might be seen in the student's answer for that level. If it meets the lowest level then go to the next one and decide if it meets this level, and so on, until you have a match between the level descriptor and the answer. With practice and familiarity you will find that for better answers you will be able to quickly skip through the lower levels of the mark scheme.

When assigning a level you should look at the overall quality of the answer and not look to pick holes in small and specific parts of the answer where the student has not performed quite as well as the rest. If the answer covers different aspects of different levels of the mark scheme you should use a best-fit approach for defining the level and then use the variability of the response to help decide the mark within the level.

Step 2 — Determine a mark

Once you have assigned a level you need to decide on the mark. The descriptors on how to allocate marks can help with this. You may well need to read back through the answer as you apply the mark scheme to clarify points and assure yourself that the level and the mark are appropriate.

Indicative content in the mark scheme is provided as a guide for examiners. It is not intended to be exhaustive and you must credit other valid points. Students do not have to cover all of the points mentioned in the indicative content to reach the highest level of the mark scheme.

An answer which contains nothing of relevance to the question must be awarded no marks.

Levels of response marking grid — 25-mark questions

The following generic grid should be used when marking all 25-mark questions (questions 0 4, 0 8, 1 0, 1 2 and 1 4 on paper 7136/1).

Level of response	Response	Max 25 marks
5	Sound, focused analysis and well-supported evaluation that: • is well organised, showing sound knowledge and understanding of economic terminology, concepts and principles with few, if any, errors • includes good application of relevant economic principles to the given context and, where appropriate, good use of data to support the response • includes well-focused analysis with clear, logical chains of reasoning • includes supported evaluation throughout the response and in a final conclusion.	21–25 marks
4	Sound, focused analysis and some supported evaluation that: • is well organised, showing sound knowledge and understanding of economic terminology, concepts and principles with few, if any, errors • includes some good application of relevant economic principles to the given context and, where appropriate, some good use of data to support the response • includes some well-focused analysis with clear, logical chains of reasoning • includes some reasonable, supported evaluation.	16–20 marks
3	Some reasonable analysis but generally unsupported evaluation that: • focuses on issues that are relevant to the question, showing satisfactory knowledge and understanding of economic terminology, concepts and principles but some weaknesses may be present • includes reasonable application of relevant economic principles to the given context and, where appropriate, some use of data to support the response • includes some reasonable analysis but which might not be adequately developed or becomes confused in places • includes fairly superficial evaluation; there is likely to be some attempt to make relevant judgements but these aren't well-supported by arguments and/or data.	11–15 marks
2	A fairly weak response with some understanding that: • includes some limited knowledge and understanding of economic terminology, concepts and principles but some errors are likely • includes some limited application of relevant economic principles to the given context and/or data to the question • includes some limited analysis but it may lack focus and/or become confused • includes some evaluation which is weak and unsupported.	6–10 marks
1	A very weak response that: • includes little relevant knowledge and understanding of economic terminology, concepts and principles • includes application to the given context which is, at best, very weak • includes attempted analysis which is weak and unsupported.	1–5 marks

Section A

Context 1

Total for this Context: 40 marks

The UK housing market

- 0 1** Using the data in Extract A (Figure 1), calculate the four-firm concentration ratio in the UK housebuilding industry. Give your answer, as a percentage, to one decimal place. **[2 marks]**

Calculation:

Top four: Barratt (15.4) + Bellway (9.8) + Taylor Wimpey (9.7) + Persimmon (8.9) = **43.8%**

Response	Max 2 marks
For the correct answer (43.8%) with correct working shown.	2 marks
For correct working with an arithmetic slip; OR correct numerical answer without working shown.	1 mark

- 0 2** Explain how the data in Extract A (Figure 2) suggest that the UK housing market is experiencing persistent excess demand. **[4 marks]**

Response	Max 4 marks
- includes evidence that clearly shows that the UK housing market is experiencing persistent excess demand. - clearly explains how this data is evidence that the UK housing market is experiencing persistent excess demand.	4 marks
- includes evidence that shows that the UK housing market is experiencing persistent excess demand. - unclear explanation of how this data is evidence that the UK housing market is experiencing persistent excess demand.	3 marks
- includes evidence that shows that the UK housing market is experiencing persistent excess demand. - limited or no explanation of how this data is evidence that the UK housing market is experiencing persistent excess demand.	2 marks
- includes evidence that does not clearly show that the UK housing market is experiencing persistent excess demand. - weak or no explanation.	1 mark

Relevant issues include:

- explanation of excess demand — quantity demanded exceeds quantity supplied at the prevailing price
- average house prices in England rose from £192,500 (2014) to £309,700 (2024) — a 60.9% increase
- net new homes supplied have not risen sufficiently to keep pace — 138,000 (2014), rising to a peak of 244,000 (2020) but falling back to 212,000 (2024)
- the private rents index rose from 96.4 (2014) to 128.9 (2024) — a 33.7% increase, indicating strong demand pressure also in the rental market
- rising homelessness (112,000 → 171,000 households) further indicates supply is falling short of housing need
- persistent price rises combined with limited supply growth is classic evidence of excess demand

- 0 3** Extract B (lines 10–12) states that 'Persistent under-supply generates negative externalities...' With the help of a diagram, explain how negative externalities arising from the UK housing market may result in a misallocation of resources.

[9 marks]

Levels of response marking grid — 9-mark questions

The following generic grid should be used when marking all 9-mark questions in Section A (questions 0 3 and 0 7).

Level of response	Response	Max 9 marks
3	• is well organised and develops one or more of the key issues that are relevant to the question • shows sound knowledge and understanding of relevant economic terminology, concepts and principles • includes good application of relevant economic principles and/or good use of data to support the response • includes well-focused analysis with a clear, logical chain of reasoning • includes a relevant diagram that will, at the top of this level, be accurate and used appropriately.	7–9 marks
2	• includes one or more issues that are relevant to the question • shows reasonable knowledge and understanding of economic terminology, concepts and principles but some weaknesses may be present • includes reasonable application of relevant economic principles and/or data to the question • includes some reasonable analysis but it might not be adequately developed and may be confused in places • may include a relevant diagram.	4–6 marks
1	• is very brief and/or lacks coherence • shows some limited knowledge and understanding of economic terminology, concepts and principles but some errors are likely • demonstrates very limited ability to apply relevant economic principles and/or data to the question • may include some very limited analysis but the analysis lacks focus and/or becomes confused • may include a relevant diagram but the diagram is not used and/or is inaccurate in some respects.	1–3 marks

Suggested diagram:

A negative externality diagram is expected. Axes: price / quantity of housing. Market supply curve (MPC) upward-sloping; market demand curve (MPB) downward-sloping; MSC curve lies above MPC reflecting external costs (homelessness impacts on NHS / local authorities, reduced labour mobility). Free-market equilibrium at $MPB = MPC$ gives quantity Q_1 (inadequate housing supply); socially optimal quantity Q^* at $MSB = MSC$ lies to the right of Q_1 . Welfare loss triangle bounded by MPC, MSC and demand between Q_1 and Q^* . Alternative valid approach: show the market is producing too little of the good relative to the socially optimal level because external benefits of additional housing supply (reduced homelessness, higher labour mobility) are not captured in the market price signal.

Relevant issues include:

- definitions of negative externality, marginal private cost (MPC), marginal social cost (MSC), marginal private benefit (MPB), marginal social benefit (MSB), welfare loss
- explanation of how under-supply creates third-party costs: NHS costs of homelessness, local authority housing costs, increased welfare spending
- reduced labour mobility — workers cannot move to high-productivity regions because of housing cost, harming productive efficiency of the wider UK economy
- rising private rents index ($96.4 \rightarrow 128.9$) reflects the distortion

- misallocation: resources devoted to the housing sector are too few; the free market equilibrium produces $Q_1 < Q^*$
- welfare loss / deadweight loss triangle arises because $MSB > MSC$ at the margin at Q_1
- the distortion is amplified by market concentration ($CR_4 = 43.8\%$), which limits supply response
- planning restrictions and green-belt policy exacerbate the issue by limiting land availability

- 0 4** Extract C states that the UK has a deficit of approximately 4.3 million homes... **[25 marks]**
Use the extracts and your knowledge of economics to assess the view that the most effective way to address the UK housing crisis is through direct government provision of housing, rather than supply-side reforms to the planning system.

Areas for discussion include:

- the nature of the UK housing crisis: 8.3x house-price-to-earnings ratio, 4.3m home deficit (Resolution Foundation), rising homelessness, rising private rents
- the case for direct government provision — can target social housing to lowest-income households, not profit-constrained, can build counter-cyclically
- post-war precedent: council housing programmes of 1945–1979 built c. 150,000–200,000 social homes per year
- the case for supply-side planning reform — market-led supply response, lower fiscal cost, leverages private capital
- evidence: Help to Buy shown by NAO (2024) to have inflated prices by 1–2% without materially increasing stock — raises doubts about demand-side subsidy
- market concentration (CR4 = 43.8%) limits responsiveness of the private sector; competition policy may be relevant alongside planning reform
- productive/allocative efficiency: government construction may be less efficient than competitive private construction; counter-argument is that private sector has X-inefficiency due to market concentration and land-banking
- alternative / complementary policies: rent controls (effective in short run, reduce supply in long run); stamp-duty reform; land-value taxation; tax on empty homes; council right-to-build; reform of compulsory purchase powers
- fiscal cost and opportunity cost of direct government provision — £50–100k subsidy per social home
- government failure risks: political pressure on site selection, long construction lead times, quality variability, lock-in to outdated specifications
- market failure arguments: negative externalities from homelessness, information asymmetries, natural monopoly characteristics in local planning markets

Evaluation / judgement:

- the word "most effective" is key — candidates should weigh relative effectiveness, not absolute
- a policy mix is usually most effective: planning liberalisation + targeted public provision + demand-side reform is stronger than any single instrument alone
- effectiveness depends on the diagnosis — if the crisis is primarily a supply-response failure, planning reform is central; if it is a distributional failure, direct provision of social housing is central
- strongest answers recognise that the two approaches target different forms of market failure and are often complementary

The use of relevant diagrams to support the analysis should be taken into account when assessing the quality of the candidate's response to the question.

Use the levels mark scheme for 25-mark questions to award candidates marks for this question.

Section A

Context 2

Total for this Context: 40 marks

Competition in the UK grocery market

- 0 5** Using the data in Extract D (Figure 3), calculate the combined market share of the four largest grocery retailers in the UK in the 12 weeks to January 2024. **[2 marks]**

Calculation:

$27.6\% + 15.7\% + 13.5\% + 10.4\% = 67.2\%$

Response	Max 2 marks
For the correct answer (67.2%) with correct working shown.	2 marks
For correct working with an arithmetic slip; OR correct numerical answer without working shown. 1 mark	1 mark

- 0 6** Explain how the data in Extract D (Figure 4) suggest that supermarkets did not benefit from excess profits during the period of high food price inflation. **[4 marks]**

Response	Max 4 marks
- includes evidence that clearly shows that supermarkets did not benefit from excess profits during the period of high food price inflation. - clearly explains how this data is evidence that supermarkets did not benefit from excess profits during the period of high food price inflation.	4 marks
- includes evidence that shows that supermarkets did not benefit from excess profits during the period of high food price inflation. - unclear explanation of how this data is evidence that supermarkets did not benefit from excess profits during the period of high food price inflation.	3 marks
- includes evidence that shows that supermarkets did not benefit from excess profits during the period of high food price inflation. - limited or no explanation of how this data is evidence that supermarkets did not benefit from excess profits during the period of high food price inflation.	2 marks
- includes evidence that does not clearly show that supermarkets did not benefit from excess profits during the period of high food price inflation. - weak or no explanation.	1 mark

Relevant issues include:

- operating margins have remained broadly stable: 3.5% (2019), 3.8% (2021), 3.6% (2023), 3.7% (2024) — no substantial margin expansion
- CPI food inflation peaked at 19.1% in 2023, but operating margins actually fell slightly from 2021
- if supermarkets were benefiting from excess profits, operating margins would be expected to rise sharply — they did not
- own-label share has risen from 52.1% (2019) to 57.3% (2024), which typically carries lower margin but suggests consumers are trading down to cheaper options — consistent with price pressure, not windfall profits
- the flat margin pattern is consistent with pass-through of wholesale cost increases rather than exploitation of market power

0 7 Extract E states that 'Rivalry takes place largely through non-price competition...' With the help of a diagram, explain why firms in an oligopolistic market may prefer non-price competition to price competition.

[9 marks]

Suggested diagram:

A kinked demand curve diagram is the standard approach. Axes: price / quantity. Curve has a kink at the prevailing price P^* : above P^* , the demand curve is elastic (rivals do not follow price rises, so the firm loses market share); below P^* , the demand curve is inelastic (rivals match price cuts, so the firm gains little). The corresponding MR curve has a discontinuity at Q^* (vertical gap). The firm's profit-maximising point ($MC = MR$) can lie anywhere within this gap, giving price stability. This illustrates why price competition is unattractive: price cuts trigger retaliation while price rises are unmatched. Accept alternative approaches such as game-theory payoff matrices showing prisoners' dilemma dynamics, or illustrative AR/AC diagrams for non-price strategies.

Relevant issues include:

- definition of oligopoly: few large firms, interdependence, high concentration ratio ($CR_4 = 67.2\%$ in the data)
- kinked demand curve explains price rigidity and reluctance to initiate price wars
- risks of price competition: zero-sum or negative-sum outcomes, erosion of margins, potential predatory-pricing challenges
- benefits of non-price competition: builds brand loyalty (Tesco Clubcard, Sainsbury's Nectar), raises switching costs, allows product differentiation
- investments in own-label ranges (57.3% of sales) create consumer lock-in and margin management
- delivery services, store experience, range breadth are all forms of non-price rivalry that are harder to replicate than price cuts
- game-theory framing: non-price competition is a more stable Nash equilibrium than price competition
- disruption from Aldi/Lidl (~18% combined share) shows the limits of the non-price model when a radical low-price entrant arrives

- 0 8** Extract F states that '...the rapid growth of discounters proves markets are self-correcting, and that additional regulation risks government failure...' Use the extracts and your knowledge of economics to evaluate the view that competition policy in the UK grocery market should focus on reducing information asymmetries rather than on breaking up market concentration. **[25 marks]**

Areas for discussion include:

- the case for focusing on information asymmetries: loyalty-pricing schemes confuse consumers; "shrinkflation" obscures real prices; unit-pricing regulation is relatively low-cost and non-distortionary
- behavioural economics: bounded rationality means consumers over-weight headline discounts and under-weight base prices
- CMA (2024) findings: "limited evidence of competition failure" but concerns about loyalty pricing
- the case against prioritising information-focused policy: symptoms rather than structural causes; CR4 = 67.2% indicates concentrated market power; infant formula market (4 firms, 95% share) raises more acute concerns
- the case for breaking up market concentration: tackles root cause; can generate both productive and allocative efficiency gains; consistent with contestable-markets theory
- the case against breaking up: UK grocery margins are already low by international standards (3.7%); scale economies from large retailers benefit consumers; risk of reducing productive efficiency
- evidence of market self-correction: Aldi (10.4%) and Lidl (7.8%) have grown to 18.2% combined, indicating the market is contestable
- but: this took ~15 years; consumers suffered in the meantime, and the process is not inevitable in all categories
- alternative / complementary policies: stricter merger control, strengthened Groceries Code Adjudicator, minimum-standards for unit pricing, tougher scrutiny of buyer power over suppliers
- government failure arguments: poorly-designed regulation can raise entry barriers and entrench incumbents

Evaluation / judgement:

- false dichotomy — competition policy can, and does, combine both approaches
- information-based interventions are lower-cost and lower-risk but address symptoms, not causes; structural interventions target causes but are costlier and riskier
- the appropriate balance depends on market conditions: where contestability is strong (general groceries), information remedies may suffice; where it is weak (infant formula), structural measures are justifiable
- strongest answers recognise the complementarity of the two approaches and reach a reasoned judgement based on evidence

Use the levels mark scheme for 25-mark questions to award candidates marks for this question.

Section B

Levels of response marking grid — 15-mark questions

The following generic grid should be used when marking all 15-mark questions in Section B (questions 0 9, 1 1 and 1 3).

Level of response	Response	Max 15 marks
3	A good response that: • is well organised and develops a selection of the key issues that are relevant to the question • shows sound knowledge and understanding of economic terminology, concepts and principles with few, if any, errors • includes good application of relevant economic principles to the given context and, where appropriate, good use of data to support the response • includes well-focused analysis with clear, logical chains of reasoning.	11–15 marks
2	A reasonable response that: • focuses on issues that are relevant to the question • shows satisfactory knowledge and understanding of economic terminology, concepts and principles but some weaknesses may be present • includes reasonable application of relevant economic principles to the given context and, where appropriate, some use of data to support the response • includes some reasonable analysis but which might not be adequately developed or becomes confused in places.	6–10 marks
1	A weak response that: • has identified one or more relevant issues • has some limited knowledge and understanding of economic terminology, concepts and principles but some errors are likely • has very limited application of relevant economic principles to the given context and/or data to the question • might have some limited analysis but it may lack focus and/or become confused.	1–5 marks

Essay 1 — Total for this Essay: 40 marks

- 0 9** Explain, with the aid of a diagram, the conditions necessary for a firm to practise price discrimination, and illustrate how a monopolist can use third-degree price discrimination to increase its profits. **[15 marks]**

Areas for discussion include:

- definition of price discrimination — charging different prices for the same good to different consumers or groups where the price differences do not reflect cost differences
- three conditions required: (i) market power (the firm must be a price-maker); (ii) ability to separate markets / consumer groups by a characteristic linked to their elasticity of demand; (iii) ability to prevent resale (no arbitrage) between the separated groups
- distinction between first, second and third-degree price discrimination
- diagram showing two sub-markets with different elasticities of demand; firm equates MR across markets ($MR_1 = MR_2 = MC$); charges higher price in the less-elastic market and a lower price in the more-elastic market
- shows higher total profit than uniform pricing because the firm captures more consumer surplus as producer surplus
- real-world examples: peak/off-peak rail fares, student/adult cinema tickets, airline yield management, dynamic pricing (Oasis tickets)

The use of relevant diagrams to support the analysis should be taken into account when assessing the quality of the candidate's response to the question.

Use the levels mark scheme for 15-mark questions to award candidates marks for this question.

- 1 0** Evaluate the view that price discrimination always reduces economic welfare, and should therefore be restricted by competition authorities. **[25 marks]**

Areas for discussion include:

- welfare loss argument: price discrimination transfers consumer surplus to producer surplus
- diagrammatic analysis showing consumer surplus redistribution
- however, price discrimination may raise output above the uniform-price level — some consumers gain access to the good who would otherwise be priced out
- allocative efficiency can be improved where discrimination allows the firm to serve otherwise-unprofitable market segments (e.g. rural transport, off-peak leisure)
- distributional issues: often the less price-elastic (typically wealthier) consumers pay more, funding lower prices for others — may be progressive
- dynamic efficiency: supernormal profits from price discrimination can fund R&D; and investment — particularly important in industries with high fixed costs (airlines, pharmaceuticals)
- real-world examples to evaluate: student discounts, early-bird restaurant pricing — these are generally welfare-improving
- problematic cases: "loyalty penalties" in insurance and broadband, exploitation of consumer inattention; CMA has intervened here (2024 loyalty-price review)
- surge pricing controversies (Oasis tickets, Uber during storms) — short-term transfers from consumers, but can improve allocation by matching supply to demand
- policy: restricting all price discrimination would harm welfare in many cases; targeted intervention against abusive practices (exploitation of consumer information asymmetries) is more defensible
- case for competition authorities' role: focus on preventing exploitation of asymmetric information, rather than banning discrimination per se

Evaluation / judgement:

- the word "always" makes the statement too strong — price discrimination sometimes raises welfare (access, dynamic efficiency)
- welfare effects depend on whether discrimination expands output and the distributional impact
- targeted regulation against abusive practices is more defensible than a blanket ban
- strongest answers distinguish between types of discrimination and reach a supported judgement

Use the levels mark scheme for 25-mark questions to award candidates marks for this question.

Essay 2 — Total for this Essay: 40 marks

1 1 Explain the main economic causes of income and wealth inequality in the UK. **[15 marks]**

Areas for discussion include:

- distinction between income inequality and wealth inequality
- income inequality causes: differences in labour productivity and therefore MRP; unequal access to education and training; occupational sorting; returns to skill premium; industry and regional wage differentials; gender and ethnic pay gaps
- wealth inequality causes: returns on capital ($r > g$ in Piketty's formulation); inheritance; differential access to home ownership; pension accumulation; asset-price appreciation (particularly housing)
- labour market structural causes: decline of trade union density; rise of zero-hours contracts and gig economy; skill-biased technological change; globalisation and offshoring
- tax and benefit system effects: UK Gini before taxes and transfers is c. 0.51, falling to 0.36 after — inequality is mitigated but only partially
- UK evidence: top 10% own c. 43% of wealth; bottom 50% own less than 9%; Gini rising from c. 0.34 (2014) toward 0.36 (2023)
- compounding effects: wealth generates further income; income shapes savings and wealth; housing market reinforces generational divides

Use the levels mark scheme for 15-mark questions to award candidates marks for this question.

1 2 Evaluate the view that progressive taxation is the most effective way to reduce income and wealth inequality in the UK. **[25 marks]**

Areas for discussion include:

- definition of progressive taxation — marginal tax rate rises with income
- UK tax system: income tax (progressive), NICs (regressive at upper band), VAT (regressive), council tax (regressive), capital gains tax (lower than top income tax)
- the case for progressive tax: directly reduces income inequality ex post; revenue can fund redistributive transfers; strong precedent (post-war UK tax system)
- evidence: UK direct tax and benefit system reduces Gini by c. 15 percentage points — a substantial effect
- the case against: may reduce work incentives; risk of tax avoidance and capital flight; does not directly address wealth inequality (capital gains, inheritance, housing wealth)
- wealth-specific instruments: inheritance tax (currently has many exemptions), capital gains tax reform, council tax reform, mansion tax, comprehensive wealth tax
- alternative / complementary policies: raising the National Living Wage (addresses bottom of distribution); education and skills investment (long-run supply-side effects); affordable housing (reduces wealth concentration in property); Universal Credit design; union rights
- in-work benefits vs. tax: tax credits can be more targeted than tax cuts
- behavioural considerations: Laffer-curve arguments — diminishing returns to high marginal rates
- distributional impact of indirect taxes — reforms to VAT exemptions can raise revenue without regressive effects

Evaluation / judgement:

- progressive income tax is a powerful instrument but inadequate alone for wealth inequality
- "most effective" depends on the dimension of inequality — direct progressive taxation is effective for income inequality; wealth taxes and asset-market reform are more effective for wealth inequality
- a policy mix (progressive tax + NLW + transfers + skills + housing reform) is stronger than any single instrument
- strongest answers recognise the difference between income and wealth inequality and reach a reasoned judgement

Use the levels mark scheme for 25-mark questions to award candidates marks for this question.

Essay 3 — Total for this Essay: 40 marks

1 3 Explain, using real-world examples, what is meant by government failure. **[15 marks]**

Areas for discussion include:

- definition of government failure — where government intervention produces a net welfare loss or fails to correct a market failure it was intended to address
- distinction from market failure
- causes of government failure: information failures within government; administrative costs; unintended consequences; regulatory capture by industry; short-termism of political cycles; imperfect information about consumer preferences
- example 1 — Help to Buy (UK, 2013–2023): NAO (2024) concluded the scheme inflated house prices by 1–2% without increasing net supply, benefiting developers more than first-time buyers
- example 2 — EU Common Agricultural Policy: price support produced surpluses ("butter mountains", "wine lakes"), harmed developing-country exporters
- example 3 — Chinese one-child policy: created demographic distortion, male-female ratio imbalance, long-run labour supply problems
- example 4 — poorly-designed environmental subsidies: renewable energy subsidies that rewarded already-operational projects rather than incentivising new investment
- example 5 — rent controls: short-run winners but long-run supply reduction and housing quality deterioration (San Francisco, New York)
- example 6 — trade tariffs: protect incumbents but raise consumer prices and damage export industries via retaliation
- regulatory capture: concerns that some industry regulators become too close to the industries they regulate

Use the levels mark scheme for 15-mark questions to award candidates marks for this question.

1 4 Evaluate the view that the risks of government failure are so great that governments should intervene in markets only in cases of severe market failure, such as public goods and significant external costs. **[25 marks]**

Areas for discussion include:

- the case for minimal intervention: government failure risks are real (examples above); public-choice theory — government actors are not automatically welfare-maximising; information asymmetries facing government; Hayekian arguments about markets as information systems
- the case for broader intervention: many important market failures lie beyond "pure" public goods and severe externalities — information asymmetries (healthcare, finance), inequality, market power, behavioural failures, dynamic efficiency concerns
- distinction between intervention types: price-based (taxes, subsidies), quantity-based (regulation, quotas), informational (disclosure requirements), direct provision
- evidence of successful intervention: UK Soft Drinks Industry Levy (35% reduction in sugar intake); Clean Air Act (pollution reduction); UK NHS (despite inefficiencies, delivers population-wide healthcare at lower cost than the US private system)
- evidence of failure: examples listed above
- the conditions for successful intervention: clear diagnosis of the market failure; evidence-based policy design; low administrative cost; minimal distortion of incentives; monitoring and evaluation
- the case for a presumption of intervention in welfare-critical markets (healthcare, education, basic infrastructure) where market failure is systemic
- the case for a presumption against intervention in consumer-goods markets where information is cheap and competition is feasible
- importance of policy design and regulatory institutions (e.g. independent regulators, evidence-based evaluation) in reducing government-failure risk

Evaluation / judgement:

- the statement is too strong — restricting intervention to only "severe" market failures would miss many legitimate cases
- but the underlying concern about government failure is valid — policymakers should design interventions carefully and monitor outcomes
- the appropriate scope of intervention depends on: severity of the market failure, effectiveness of available policy instruments, and institutional capacity to implement well
- strongest answers weigh both types of failure carefully and reach a contextual judgement

Use the levels mark scheme for 25-mark questions to award candidates marks for this question.

END OF MARK SCHEME